

September 17, 2026 08:07 PM GMT

## S. Korea Telecoms &amp; Internet | Asia Pacific

## The AI data center bandwagon starts to roll

Five operators under our coverage have recently announced build-out plans to reach a total of 5GW over the next five years, as the need for localized AIDCs has emerged. In this report, we analyze the different business models and the opportunities/risks. Samsung SDS is our preferred AIDC play.

**Increasing demand for B2B services, data sovereignty, and government support**

**are driving build-out of AIDCs in Korea:** The adoption of AI services by Korea's leading companies, coupled with data sovereignty constraints, is supporting the need for data centers to be based within Korea's borders. This has led multiple companies to announce ambitious build-out plans. Growing difficulty of securing capacity in the US by hyperscalers, and rising demand for AI in Asia, is also supporting localized AIDCs, in our view.

**Neocloud, colocation, DBO, or hybrid?** Operators are considering multiple business models depending on risk appetite and capital access; we expect many to hold a portfolio of different models. The risk-reward profile differs significantly by business model. Hence, comparing operators purely on capacity is misleading. We detail each business model in this report. The full stack neocloud model commands the highest risk-reward. The asset-light DBO has the lowest.

**The hybrid model floated by Naver has generated much debate:** Naver's plans to stay asset-light and fully finance computing from financial partners have raised the question as to how the economics will be split between the servicing company and asset owner. Naver is guiding for high-teens margins, which is a 'show me' story. With NVIDIA also announcing plans to backstop neocloud investments ([see here](#)), we believe hybrid models could emerge as a mainstream model.

**Key risks to the build-out scenario:** 1) *Power:* Korea has sufficient reserve capacity for the near term, but build-out beyond 5GW will require significant additions to power generation. 2) *Oversupply:* Concentration of supply or slower adoption of AI by companies could lead to lower token prices. 3) *Regulations:* Sustained policy support is critical to getting the data centers approved and powered. A shift in policy would be negative.

**Samsung SDS remains our preferred AIDC play:** Having taken an early lead in AIDCs, SDS looks best positioned to benefit from the upcoming build-out of neoclouds (Gumi, AICC). We also expect the company to benefit from the AI enterprise software install cycle, with entry into robotics offering a longer-term growth option. Reiterate OW and W270,000 price target.

MORGAN STANLEY &amp; CO. INTERNATIONAL PLC, SEOUL BRANCH+

**Seyon Park**

Equity Analyst

Seyon.Park@morganstanley.com

+82 2 399-4936

**Sohyun Park**

Equity Analyst

Sohyun.Park@morganstanley.com

+82 2 399-4872

**S. KOREA TELECOMS & INTERNET**

Asia Pacific

Industry View

In-Line

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

**For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.**

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

# The rush to build AIDCs in Korea has started

## Multiple operators have announced ambitious build-out plans starting June

Since June, Korea has seen announcement by multiple companies relating to AIDC expansion plans. This includes existing players such as SK Telecom and Samsung SDS, but also saw new players such as Naver joining the bandwagon. KT and LGU, which have operated legacy colocation DCs for decades, also unveiled plans to build out new capacity for AI optimized DCs, as well as supporting infrastructure such as submarine cables.

We believe this series of announcements has come as industry participants are confirming the need for localized AIDCs in Korea, supported by the government push to get the blueprint out and get market / regulatory participants moving. In our observation, we see three key drivers which are driving an accelerated build-out:

1. Mass adoption of enterprise AI solutions which require inference close to clients
2. Data security regulations which prevents sensitive data from leaving Korea's borders
3. Need for hyperscalers to secure data center capacity outside of the US

We see the first two rationales being connected and critical, as AI enterprise solutions for Korea's largest companies (Samsung, SK, Hyundai, etc) involves handling of sensitive data where training and inference will need to take place within Korea's borders. Local regulations also make it extremely difficult for personal information relating to financial services to be sent overseas. Hence inference for financial services will most certainly need to be handled by data centers located in Korea.

This is in contrast to the B2C applications, such as chatbots, which did not involve sensitive data sets, and hence did not require localized inference. This is why, despite Korea boasting one of the highest usages of AI services, inference capacity within the country was at minimal levels.

On the third point, the decision by NVIDIA (covered by Joseph Moore) to invest US\$1bn directly in Naver, serves as a strong signal that there is justification, not just from local enterprise customers, but from global AI service providers, to build AIDCs in Korea.

**Exhibit 1:** Data Center expansion plans by major players

| Company     | Announced capacity                                                  | Timing                                                                     | Key projects / partners                       | Other notable items                                                    |
|-------------|---------------------------------------------------------------------|----------------------------------------------------------------------------|-----------------------------------------------|------------------------------------------------------------------------|
| SK Telecom  | Up to 2GW                                                           | First new capacity from 2027; longer-term buildout                         | Nvidia, AWS, Anthropic; Ulsan AIDC            | Longer term ambition is to get to 5GW of capacity                      |
| KT Corp     | 1GW over the next 5 years inclusive of DBO projects (current 152MW) | Five-year buildout; capex to scale with confirmed customer demand          | AIDCs centered around Seoul Metropolitan area | Targeting W4.4tn in DC revenue by 2031                                 |
| LG Uplus    | 400MW (current 165MW)                                               | Target 2030, consisting of 270MW of in-house, and 130MW of leased capacity | Paju data center cluster (4 DC buildings)     | In-house capacity expected to be colocation, leased capacity is DBO    |
| NAVER       | 55MW by 1H27 → 200MW by 2028; longer-term 1GW                       | 55MW initial deployment; 200MW by 2028                                     | Nvidia, Brookfield                            | Brookfield expected to provide US\$9bn in financing for compute (GPUs) |
| Samsung SDS | 800MW by 2031 including 500MW of DBO projects                       | AICC (40MW) by 2028<br>Gumi (60MW) by 2029                                 | Korean government 30% investor in AICC        | Targeting over W3.5 trillion in DC related revenues by 2031            |

Source: Company data, Morgan Stanley Research

## What's been announced by each operator

**Samsung SDS (018260.KS; Overweight):** Having already announced plans to develop an AI data center in Gumi, and being selected as the lead operator for the AI Computing Center, Samsung SDS unveiled longer-term targets to reach 834MW of capacity and W3.6trillion in annual revenue by 2031. This reflects both Gumi and AICC doubling their capacities, and incremental 500MW of DBO capacity. SDS is targeting high teens OPM for its neocloud DCs and high single digit OPM for DBO capacity.

**Naver (035420.KS; Equal-weight):** Naver's decision to enter the AI Factory business, followed by a rights issue to NVIDIA all came as a big surprise to the market ([NVIDIA to invest US\\$1bn in Naver \(27 Jul 2026\)](#), [Framing the AI Factory opportunity \(9 Jun 2026\)](#)). The company announced plans to build out 200MW of new capacity by 2028, along with a longer-term target of scaling to 1GW (including global). To finance the build-out, Naver announced that it is working on a US\$9bn deal with Brookfield which, if signed, would take on the bulk of the asset ownership of the data centers and the GPU servers.

**SK Telecom (017670.KS; Equal-weight):** In July 2026, SK Telecom disclosed plans to develop up to 2GW of AIDC capacity using NVIDIA's Vera Rubin systems and SK hynix's HBM. While a detailed time line was not disclosed, management indicated SKT intends to add data center capacity through its newly established entity, SK Hyper, to support anticipated demand growth for tokens in Korea. SK Hyper has since announced ambitious plans to get to 5GW of capacity by 2029, and 15GW by 2035. On a separate note, SK Broadband announced a spin-off of its existing data center business to create SK Horizon, which is mostly colocation, and includes the Ulsan data center under construction ([SK Broadband to spin off data center business, attracts W3 trillion in funding from PEFs \(27 Aug 2026\)](#)).

**KT Corp (030200.KS; Overweight):** KT also announced plans earlier in August to aggressively increase investment in AI infrastructure (see [Corp Day Takeaways: Investing](#)

in AI While Maintaining "Value Up"), outlining a strategy to increase data center capacity to 1GW over the next five years. The plan includes utilizing legacy telco real estate to build edge AI inference capacity and significantly increase investment in submarine cable infrastructure. The company targets W4.4trn in AI data center revenue by 2031, assuming successful execution of the planned capacity expansion to 1GW. Management has emphasized that its expansion plans are based on early indications of customer demand.

## **Strong government support has played a key part to get the private sector to participate**

South Korea has positioned AI as a strategic national industry, with an explicit ambition to become one of the world's top-three AI powers. Korea's sovereign AI policy aims for "strategic autonomy that secures control over critical capabilities while leveraging the global AI ecosystem," rather than pursuing full-scale technological self-sufficiency or complete localization.

- The National AI Strategy Committee, chaired by the president, provides central coordination for Korea's AI agenda, while the Ministry of Science and ICT (MSIT) is driving infrastructure investment and foundation-model development programs.
- Korea's AI Basic Act, which took effect in January 2026, establishes a national regulatory framework for AI, including provisions for high-impact AI and transparency requirements for generative-AI.
- Korean AI policy has evolved beyond traditional support for the technology sector toward a coordinated industrial strategy. The government is simultaneously targeting Compute → Semiconductors → Cloud → Foundation Models → Applications → Public-Sector Adoption.

One of the key pillars behind the government's policy is "Compute Sovereignty", which aims to secure the AI infrastructure that underpins models. The government cites that Korea should look beyond simply acquiring GPUs and treat national AI computing centers, domestic cloud infrastructure, electricity, data centers, and networks as strategic assets. Government support should therefore focus not only on purchasing accelerators, but also on building Compute-as-a-Service, sovereign cloud infrastructure, and sufficient domestic inference capacity.

**Exhibit 2:** Key government support programs for AI infrastructure build-out

| Program                                         | What Korea is doing                                                                                                                                                                                                                                                                                                                                                                      | Sovereign-AI relevance                                                                                                                                                                                                            |
|-------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| National Growth Fund                            | KRW 150tn (~US\$100bn+) five-year public-private fund launched to finance strategic industries. KRW 50tn is targeted toward AI and semiconductors, with sovereign AI identified as a strategic megaproject area. Funding can include equity investment, infrastructure financing and preferential lending for areas such as AI computing, data centres, semiconductors and AI companies. | Provides the financing/industrial-policy layer of Korea's sovereign-AI strategy, mobilising public and private capital to scale domestic compute, chips, models and AI infrastructure rather than relying primarily on R&D grants |
| National AI Computing Center                    | Government is building national-scale AI compute infrastructure and dramatically increasing access to advanced GPUs for academia and industry.                                                                                                                                                                                                                                           | Establishes domestic compute sovereignty, so Korean firms aren't completely dependent on overseas hyperscalers.                                                                                                                   |
| Large-scale GPU procurement / compute expansion | Korea's strategy calls for a major expansion of national GPU capacity; earlier plans targeted a 15× expansion of advanced GPU capacity.                                                                                                                                                                                                                                                  | Gives domestic model developers access to scarce frontier compute.                                                                                                                                                                |
| KRW 10tn government AI budget for 2026          | Government announced an AI-related budget of roughly KRW 10tn, more than triple the prior year's level, aiming to catalyse as much as KRW 30tn of public/private investment.                                                                                                                                                                                                             | Provides substantial fiscal backing for infrastructure, models, R&D and adoption.                                                                                                                                                 |

Source: Morgan Stanley Research

# Neocloud, colocation, DBO: A megawatt is not equal

When analyzing the megawatts of capacity announced, we stress that investors need to take into consideration the difference in business models. The capacity plans for most of the operators consist of a mix of neocloud, colocation, and DBO. As there are clear differences in service offered, asset ownership, capital intensity, and business risk, the risk return for each model is different, which needs to be reflected in valuing the equities.

We provide a summary of the three existing business models below:

## Neocloud

**Neocloud is a GPU computing model where the operator delivers AI computing capacity:** The provider owns the GPUs and supporting IT infrastructure, including networking, storage, and software. Data center capacity may be developed in-house, but neocloud providers can also lease capacity from third-party colocation operators. CoreWeave and Nebius are representative neocloud operators overseas and Samsung SDS currently has 20MW of capacity under this model, which is expected to expand to 120MW by 2029.

**This model offers the highest economics when demand for AI training and inference is strong:** The company keeps the lion's share of margins from token sales. However, it also carries the highest risk as the operator bears the cost of GPUs and supporting infrastructure which is in the USD billions for a 100MW facility. If demand falls short or capacity utilization is sub-optimal, the operator also bears the full downside from underutilized assets, including depreciation, GPU obsolescence, financing costs, and fixed infrastructure expenses.

## Colocation

**Colocation is a data center infrastructure model in which the operator provides space, power, cooling, connectivity, and related facility services to customers:** The provider typically owns the physical data center infrastructure, including the building and supporting facilities, while customers bring and operate their own servers and GPUs within the data center. Companies such as Equinix and DLR are representative colocation providers in the US. In Korea, the telcos have been the main players in offering colocation services and expect this to remain the core business model for GPU based AIDCs for the near term.

**This model also requires sizable upfront capital investment** to secure land, power, buildings, and supporting infrastructure but not the GPU and related hardware. Hence, compared to the neocloud model, the risk profile is lower and the operator is not exposed to GPU obsolescence risk. Revenues are also more stable as customer tend to sign long-term contracts. Key risks include construction delays, power availability, customer concentration, occupancy and utilization risk.

## DBO (Design, Build, & Operate)

**DBO is a service-based model in which an operator designs, builds, and operates a data center on behalf of the asset owner:** The asset owner can be a real estate developer, asset manager, infrastructure fund, or other financial investors that provide the capital and own the asset but rely on external specialists for technical execution and operations. The design, build, and operation phases can be awarded to separate contractors and the role of the operator can vary meaningfully depending the contract.

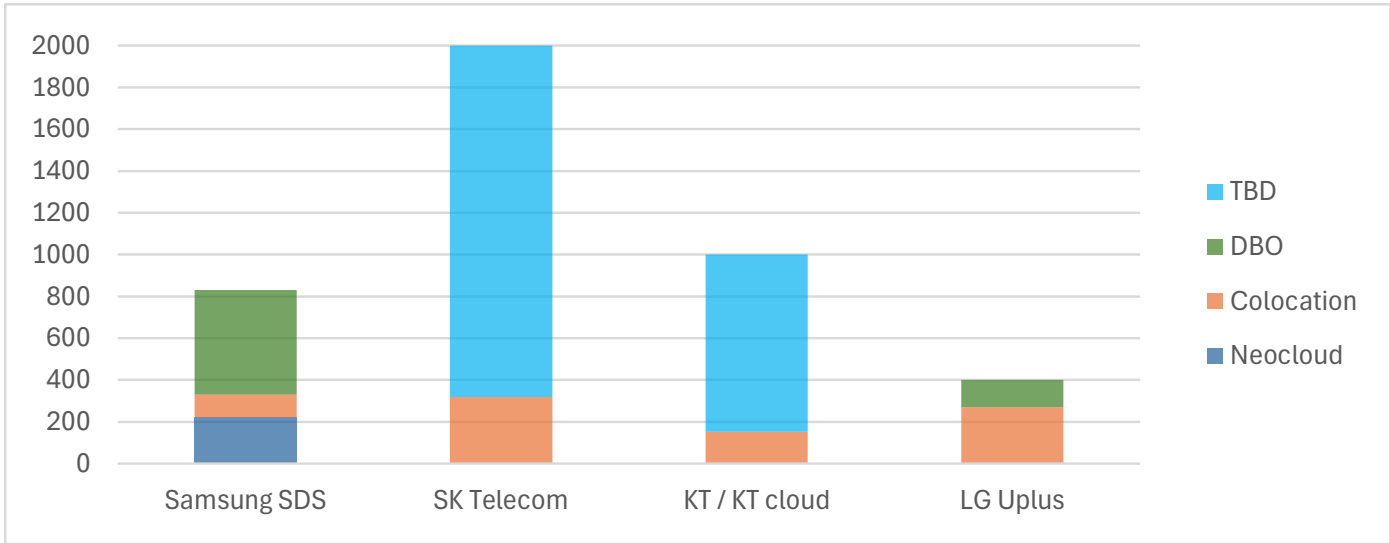
**The model is asset-light and carries lower risk than neocloud or colocation:** That's because the DBO provider typically does not own the powered shell or the GPUs that go inside it, The economics can also vary from a fixed fee to revenue share but overall the upside, in the case of strong demand, is likely to be capped.

Exhibit 3: Comparison of Key Data Center Business Models

| Model      | Service Offered          | Asset ownership | Capital Intensity | Business Risk | Overseas Comps           |
|------------|--------------------------|-----------------|-------------------|---------------|--------------------------|
| Neocloud   | Compute, GPUaaS          | GPU, Servers    | High              | High          | Coreweave, Nebius        |
| Colocation | Space, Power, Cooling    | Powered Shell   | Mid               | Mid           | Applied Digital, Equinix |
| DBO        | Design, Build, Operation | None            | Low               | Low           | Exyte                    |

Source: Morgan Stanley research. Note: Exyte is primarily an EPC/design-build contractor rather than a pure-play DBO operator.

Exhibit 4: 2031- 2031 target DC capacity and business model mix



Source: Company data, Morgan Stanley Research

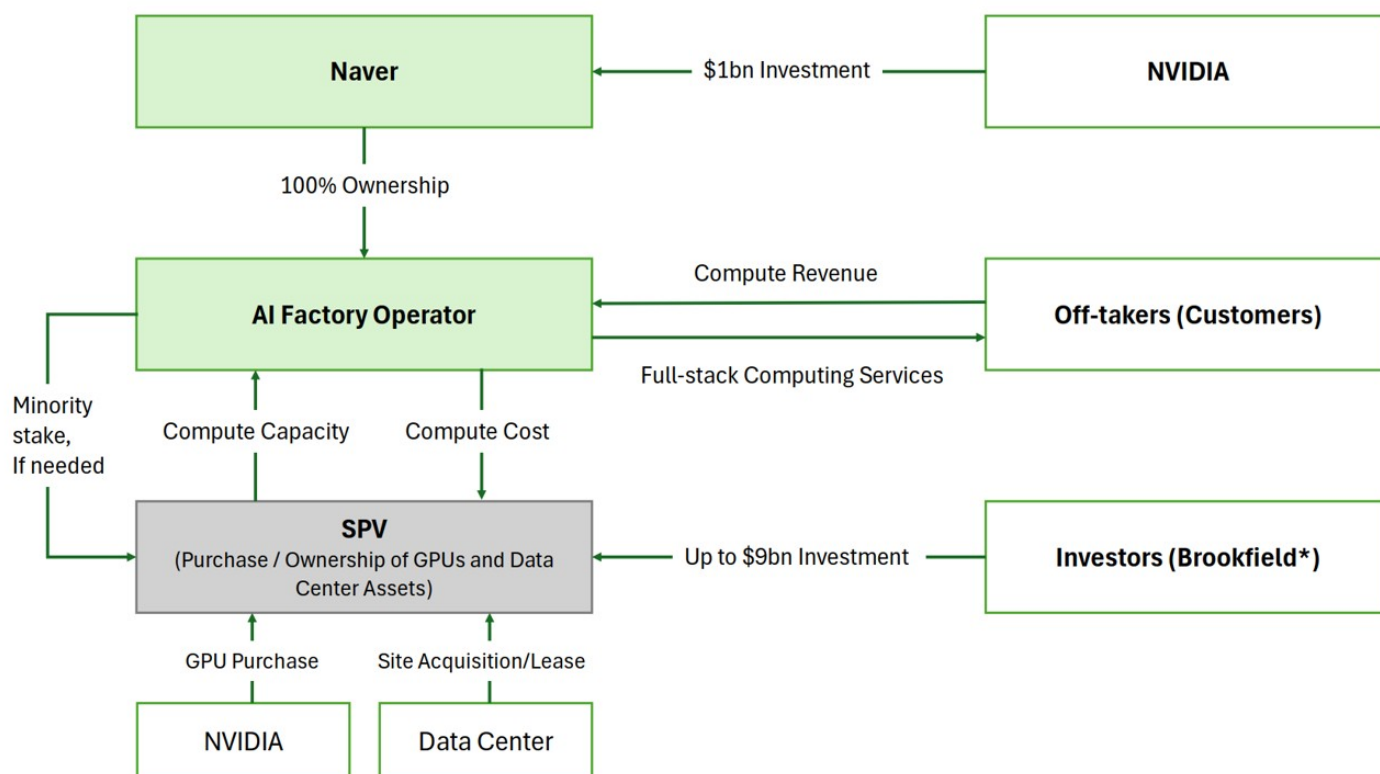
## Emergence of a new 'Hybrid' model

Naver's unveiling of its 'AI Factory' business model has generated much discussion amongst investors as it floats a structure where Naver maintains ownership of both the project and customers, while relying on external financing for build-out of the data center and the GPU computing. Naver's plan is to fully consolidate the AI Factory, while generating strong margins, even after sharing the economics with its partners which would actually be owning the core assets.

The model references the business model NVIDIA floated recently ([NVDA \\$500bn investment mobilization is a positive; brings focus to rev sharing \(11 Aug 2026\)](#), [NVIDIA, neoclouds, and rev sharing: the next big debate \(14 Aug 2026\)](#)), which aims to position GPU computing long term infrastructure assets which can be financed by private equity. Naver is currently negotiating with Brookfield to finance US\$9bn in capital to fund its build-out. We remind investors that Naver announced a US\$1bn rights issue to NVIDIA in late July ([link here](#)).

The proposed model would allow companies with limited capital resources to build neoclouds with significant scale. Should this model emerge to be mainstream, we believe it would open the door for many operators to participate. We believe SK Hyper, a newly formed AIDC dedicated entity under SK Telecom, could also be considering the hybrid approach, as the company is also citing plans to work with financial partners to fund the build-out.

**Exhibit 5:** Naver's Token Factory business model



Source: Company data

## There's been much investor debate on the 'hybrid model'

Despite NVIDIA's billion dollar investment and Naver's unveiling of its grand gigawatt build-out plans, the equities' outperformance has been short-lived. In our view, this is because investors have raised questions as to what returns Naver can generate over the longer term, having no direct ownership of the core computing assets. Moreover, the operating company bears the burden of maintaining utilization at high levels, in order to pay the asset companies, and generate profits. Should the operating company fail to attract customers, or experience issues in maintaining performance of tens of thousands of GPUs, the margin profile could end up being low or even negative.

The other key question is relating to "barriers to entry" as the hybrid structure opens the door for other operating companies to gain access to the GPU computing, so long as chips and capital are readily available. If Naver demonstrates high sustained margins, it would naturally attract other operators to also form similar partnerships ultimately leading to increased supply of tokens. This would over time work to lower token prices and in turn drive lower industry margins.

Hence, we believe the 'hybrid model' will likely be a 'show me' story for the operators, requiring the likes of Naver to prove that the business model works, the economics are sound, and the bar to replicating the model is higher than generally perceived.

# Risks to the Build-Out Targets

## Significant increase to power generation required

While the current 11th Basic Plan on Electricity Supply and Demand reflects an increase in high demand facilities, it falls well short of the estimated 5GW of maximum aggregate AIDC capacity announced over the next five years. With current capacity reserve at over 20%, we believe KEPCO has some buffer to power the planned AIDCs roll outs for the near term. However, beyond the five year horizon, the government will need to make significant upward revisions which tends to take time to plan, approve and get funded.

Even if power is available on an aggregate level, the transmission and distribution capacity also need to be available at the sites, and delays to getting the required connection and/or approvals could see key projects get pushed back.

**Exhibit 6:** Capacity Reserve plans according to the 11th Basic Electricity Plan

| (GW)               | 2024  | 2025E | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E |
|--------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Peak Demand        | 101   | 103   | 104   | 106   | 108   | 109   | 111   | 113   | 116   | 118   |
| Finalized Capacity | 122   | 126   | 129   | 132   | 134   | 135   | 136   | 137   | 138   | 140   |
| Capacity Reserve%  | 20.5% | 22.4% | 23.5% | 24.4% | 23.9% | 23.0% | 21.7% | 21.0% | 21.0% | 22.0% |

Source: KEPCO, Morgan Stanley Research

## Risk of oversupply

Should all of the announced capacity get built on schedule, it would imply supply gets concentrated in the 2029- 2030 window, which could lead to token prices falling sharply as the additional capacity gets digested. In particular, should the 'hybrid' business model allow more operators to participate, our supply forecast could see significant upward revisions, which would lower the return profiles for the industry.

On the other side of the equation is demand, which we believe will hinge on the pace of enterprise AI adoption, operational efficiency of the token factories (particularly at the scale of thousands of GPUs), and contract terms with token buyers (spot vs. take-or-pay contracts). A slower pace of AI adoption, would no doubt raise concerns on oversupply, which would most likely result in some projects being pushed out or canceled.

## Regulatory risks

The recent announcements by multiple operators reflects the Lee government's strong push for AI infrastructure, backed by strong support from regional governments and MOTIR (Ministry of Trade, Industry, and Resources) to get the approvals and resources required. The build-outs are planned well beyond 2030 which will require full support from the next government as well. Any negative shift in public perception relating to data centers would have negative implications to policy support. In particular, we believe the first cohort of AIDCs will need to deliver on performance, returns, and public perception to keep the bandwagon going.

## Stock Picks: SDS is our preferred AIDC play

Within our expanding universe of AIDC plays, we prefer Samsung SDS given its build-out of two neocloud data centers (Gumi and AICC in Haenam), captive customer base (Samsung Group), and upside to IT Service revenues from the AI adoption cycle. We explain the importance of going to a neocloud model, and having a solid captive customer base below.

- **Benefits of going neocloud:** SDS has been one of the earliest players to commit to AIDC build-out, and we see its decision to invest in the full package widening its lead over its competitors. This is because having the neocloud gives direct control of the GPU computing assets, without having to rely on external partners to secure the most important component of the infrastructure. Going neocloud also enables SDS to gain valuable know-how in operating the facility, from inside out. Early signs point to unexpected challenges when scaling the size of data centers from hundreds of GPUs to ten of thousands of GPUs, and we believe gaining the know-how to operate GPUs at large scale will be a key differentiating factor in the future.
- **Benefits of having a captive customer base:** A key reason why SDS has the neocloud model at the core of its AIDC strategy is the presence of its sizeable captive customer base, led by Samsung Electronics. Having the captive base allows SDS to lock in future capacity, mitigate the risks which comes with investing billions of dollars in both the powered shell and the GPU computing. Having an anchor investor will provide SDS with a steady stream of cash flows to recoup its investments which in turn gives it significant bargaining power when attracting external customers.

While our core thesis lies on the neocloud story, upside from DBO contracts (management targeting 500MW by 2031), and M&A (including physical AI) are also reasons we stay constructive. We note that SDS unveiled at its Real Summit last week that it will be leading Samsung Group's push to apply robotics to its manufacturing facilities. We see this as a longer-term "call option," which has not been reflected in current valuations. We stay OW and our price target remains unchanged at W270,000.

### We also like KT Corp – its valuation reflects no upside from AIDC

Within the telcos, KT is our preferred name as we see risk-reward as favorable, with valuations offering a 6% plus TSR (Total Shareholder Return: dividend + buybacks), and plans to actively invest in AI infrastructure not reflected. As the incumbent fixed line operator in Korea, KT has a long history operating colocation data centers and the data lines which connect it.

At its recent Corporate Day in August, KT's new CEO Yoon-Young Park unveiled plans to invest W6 trillion in AI infrastructure spend, including W5 trillion to build out 1GW of AIDC capacity and W1 trillion for subsea cable by 2031. While details on the business model mix relating to future capacity remains to be announced, we see management's strategic direction as sound, especially given existing "value-up" plans remain in place.

The stock currently trades at less than 10x PE and 4x EV/EBITDA, based on our 2026 estimates, which we see reflecting no upside from AIDC. We hence see potential for a valuation re-rating as build-out plans become more concrete and execution leads to financial results.

## We have Equal-weight ratings on Naver, SKT, and LGU

**Naver (Equal-weight, price target W240,000):** We maintain Equal-weight as we await for proof that the company can generate solid returns from its AI Factory, which is set to start operations in 2027. While we do see value created from AI Factory, we are taking a more conservative approach in terms of the economics share with its asset owning partners. In addition, the uncertain outlook for the existing Search and Commerce business remain issues which make it difficult to hold a view purely on the AIDC angle.

**SK Telecom (Equal-weight; price target W90,000):** While we are constructive on SK Group's initiative to lead Korea on AI infrastructure, we believe improved visibility on SK Hyper's business model (capacity timing, revenue forecast, expected margins, etc.) will likely be required before investor gain conviction. The share price volatility which comes from SKT's stakes in 'AI assets' also makes it challenging to push the stock purely on the AIDC story, in our view.

**LG Uplus (Equal-weight; price target W17,000):** We see no issues with LGU's existing plans to increase capacity at its Paju data center cluster and increase capacity to 400MW from current 165MW by 2030, with colocation expected to be the core business model. That said, the AIDC story does pale compared to its peers, and stock lacks an immediate catalyst to drive a re-rating.

**Exhibit 7:** Valuation comps for data center plays under our coverage universe

| As of 16-Sep-26  | CCY | Share Price | Rating | Price Target | MCap (USD mn) | EPS F2026e | EPS F2027e | EPS growth F2026e | EPS growth F2027e | PER F2026e  | PER F2027e  | ROE F2026e  | ROE F2027e  | EV/EBITDA F2026e | EV/EBITDA F2027e | Dividend Yield F2026e | Dividend Yield F2027e | FCF Yield F2026e | FCF Yield F2027e |
|------------------|-----|-------------|--------|--------------|---------------|------------|------------|-------------------|-------------------|-------------|-------------|-------------|-------------|------------------|------------------|-----------------------|-----------------------|------------------|------------------|
| <b>Korea</b>     |     |             |        |              |               |            |            |                   |                   |             |             |             |             |                  |                  |                       |                       |                  |                  |
| Samsung SDS      | KRW | 220,500     | OW     | 270,000      | 12,522        | 9,116      | 11,366     | -7.2%             | 24.7%             | 24.2        | 19.4        | 7.0%        | 8.2%        | 9.1              | 7.4              | 1.4%                  | 1.4%                  | 2.0%             | 2.1%             |
| LG CNS           | KRW | 71,000      | EW     | 80,000       | 5,050         | 4,678      | 4,983      | 3.5%              | 6.5%              | 15.2        | 14.2        | 14.8%       | 14.4%       | 8.3              | 7.5              | 2.6%                  | 2.7%                  | 5.9%             | 6.0%             |
| SK Telecom       | KRW | 88,000      | EW     | 90,000       | 13,754        | 6,040      | 6,508      | 215.0%            | 7.8%              | 14.6        | 13.5        | 9.8%        | 10.1%       | 5.0              | 4.8              | 3.8%                  | 3.9%                  | 6.7%             | 6.9%             |
| KT Corp          | KRW | 53,000      | OW     | 62,000       | 10,159        | 5,351      | 5,864      | -25.3%            | 9.6%              | 9.9         | 9.0         | 7.1%        | 7.5%        | 3.8              | 3.7              | 4.5%                  | 5.3%                  | 11.6%            | 10.3%            |
| LG Uplus         | KRW | 14,850      | EW     | 17,000       | 4,686         | 1,633      | 2,028      | 32.7%             | 24.2%             | 9.1         | 7.3         | 7.8%        | 9.1%        | 3.0              | 2.7              | 4.7%                  | 5.1%                  | 14.3%            | 22.5%            |
| Naver            | KRW | 206,000     | EW     | 240,000      | 23,961        | 12,208     | 11,174     | -4.7%             | -8.5%             | 16.9        | 18.4        | 6.9%        | 5.8%        | 9.7              | 8.8              | 1.2%                  | 0.6%                  | 1.9%             | 2.5%             |
| <b>Korea Avg</b> |     |             |        |              |               |            |            |                   |                   | <b>15.0</b> | <b>13.7</b> | <b>8.9%</b> | <b>9.2%</b> | <b>6.5</b>       | <b>5.8</b>       | <b>3.0%</b>           | <b>3.2%</b>           | <b>7.1%</b>      | <b>8.4%</b>      |

Source: Morgan Stanley Research estimates

**Exhibit 8:** Valuation comps for key global data center peers

| As of 16-Sep-26         | CCY | Share Price | Rating | Price Target | MCap (USD mn) | EPS F2026e | EPS F2027e | EPS growth F2026e | EPS growth F2027e | PER F2026e  | PER F2027e  | ROE F2026e  | ROE F2027e  | EV/EBITDA F2026e | EV/EBITDA F2027e | Dividend Yield F2026e | Dividend Yield F2027e | FCF Yield F2026e | FCF Yield F2027e |
|-------------------------|-----|-------------|--------|--------------|---------------|------------|------------|-------------------|-------------------|-------------|-------------|-------------|-------------|------------------|------------------|-----------------------|-----------------------|------------------|------------------|
| <b>Global Peers</b>     |     |             |        |              |               |            |            |                   |                   |             |             |             |             |                  |                  |                       |                       |                  |                  |
| <b>Neocloud</b>         |     |             |        |              |               |            |            |                   |                   |             |             |             |             |                  |                  |                       |                       |                  |                  |
| CoreWeave               | USD | 80.92       | EW     | 99           | 44,587        | (3.0)      | (0.5)      | NM                | NM                | NM          | NM          | NM          | NM          | 12.2             | 7.8              | 0.0%                  | 0.0%                  | NM               | NM               |
| Nebius                  | USD | 207.37      | EW     | 144          | 56,375        | 0.1        | (1.6)      | Turn(+)           | Turn(-)           | NM          | NM          | 0.3%        | NM          | 50.5             | 15.1             | 0.0%                  | 0.0%                  | NM               | NM               |
| <b>US DC Pureplays</b>  |     |             |        |              |               |            |            |                   |                   |             |             |             |             |                  |                  |                       |                       |                  |                  |
| Digital Realty          | USD | 179.27      | EW     | 215          | 64,179        | 3.1        | 2.4        | 346.2%            | -24.4%            | 57.2        | 75.7        | 5.1%        | 3.9%        | 22.8             | 21.7             | 0.0%                  | 0.0%                  | NM               | NM               |
| Equinix                 | USD | 1,006.98    | OW     | 1,250        | 99,831        | 18.0       | 19.1       | 21.6%             | 6.0%              | 56.0        | 52.8        | 12.5%       | 13.1%       | 24.6             | 22.4             | 2.0%                  | 2.3%                  | NM               | NM               |
| <b>Powered Shells</b>   |     |             |        |              |               |            |            |                   |                   |             |             |             |             |                  |                  |                       |                       |                  |                  |
| Riot Platforms          | USD | 19.70       | OW     | 43           | 7,447         | (2.6)      | (1.4)      | NM                | NM                | NM          | NM          | NM          | NM          | NM               | 101.6            | 0.0%                  | 0.0%                  | NM               | NM               |
| Hut 8                   | USD | 87.09       | OW     | 273          | 9,673         | (5.9)      | (3.6)      | NM                | NM                | NM          | NM          | NM          | NM          | NM               | 60.6             | 0.0%                  | 0.0%                  | NM               | NM               |
| Applied Digital         | USD | 23.42       | EW     | 38           | 6,536         | 0.1        | (1.4)      | Turn(+)           | Turn(-)           | 178.7       | NM          | 3.3%        | NM          | 177.3            | 123.9            | 0.0%                  | 0.0%                  | NM               | NM               |
| <b>Asia peers</b>       |     |             |        |              |               |            |            |                   |                   |             |             |             |             |                  |                  |                       |                       |                  |                  |
| NTT                     | JPY | 178.10      | EW     | 170          | 93,511        | 13.4       | 14.7       | 6.6%              | 9.1%              | 13.2        | 12.1        | 10.9%       | 11.1%       | 9.4              | 9.4              | 3.0%                  | 3.1%                  | 5.4%             | 6.2%             |
| SUNeVision              | HKD | 5.43        | OW     | 8.50         | 2,808         | 0.3        | 0.3        | 8.7%              | 25.4%             | 20.6        | 16.5        | 17.6%       | 19.8%       | 15.6             | 15.0             | 2.4%                  | 3.3%                  | 1.4%             | NM               |
| NEXTDC                  | AUD | 11.39       | OW     | 19.00        | 5,601         | (0.0)      | (0.0)      | NM                | NM                | NM          | NM          | NM          | NM          | 49.9             | 37.5             | 0.0%                  | 0.0%                  | NM               | NM               |
| Keppel DC REIT          | SGD | 2.12        | EW     | 2.30         | 4,084         | 0.1        | 0.1        | 5.5%              | 2.9%              | 17.6        | 17.1        | 7.1%        | 7.3%        | 20.2             | 20.0             | 5.3%                  | 5.5%                  | 6.3%             | 6.3%             |
| VNET                    | CNY | 5.96        | OW     | 14.00        | 1,615         | 1.3        | 1.5        | Turn(+)           | 13.2%             | 30.3        | 26.8        | 4.8%        | 4.1%        | 9.5              | 9.3              | 0.0%                  | 0.0%                  | NM               | NM               |
| <b>Global Peers Avg</b> |     |             |        |              |               |            |            |                   |                   | <b>53.4</b> | <b>33.5</b> | <b>7.7%</b> | <b>9.9%</b> | <b>39.2</b>      | <b>37.0</b>      | <b>1.1%</b>           | <b>1.2%</b>           |                  |                  |

Source: Morgan Stanley Research estimates

## Risk Reward – Samsung SDS (018260.KS)

Our preferred AIDC play within our coverage anchored by neocloud build outs.

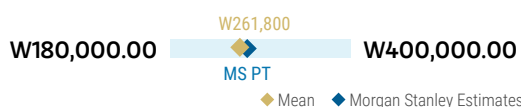
### PRICE TARGET W270,000

Base case, sum of the parts.

- **Main business:** Discounted cash flow (DCF). Key assumptions: WACC 8.5% (CoE 9.6%, 80% equity/20% debt structure), terminal growth rate 2%.
- **Stake in National AI Computing Center project. business:** NPV estimate of W402bn, based on separate DCF (WACC 10%, terminal growth rate 2%)
- **Cash on balance sheet:** We apply a 30% discount, reflecting management's more proactive stance on its use of capital.

#### Consensus Price Target Distribution

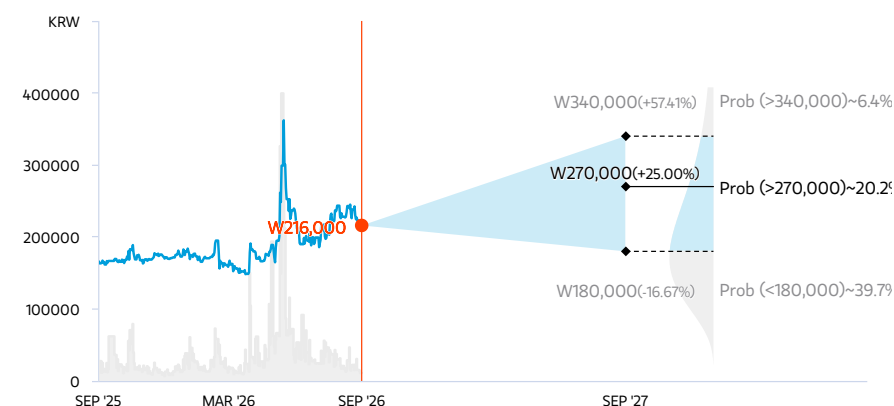
Source: Refinitiv, Morgan Stanley Research



### OVERWEIGHT THESIS

- We see the company best positioned to benefit from increasing demand for AI infrastructure, given its plans to build a 120MW AI data center in Gumi and 80MW AI Computing Center in Haenam.
- We see captive customer base, led by Samsung Electronics, serving to support capacity utilization and enable company to command higher pricing power.
- Partnership with KKR opens the door for more proactive approach to capital allocation, including M&A to find new sources of growth.

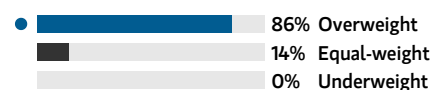
### RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 17 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

#### Consensus Rating Distribution



#### MS Rating

Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

W340,000

##### 30x 2027e bull case EPS

We assume AI data center EBITDA margins approach 65% levels at steady state thanks to stronger demand. We also remove discount to net cash to reflect constructive capital allocation and apply a higher terminal growth rate of 3%.

#### BASE CASE

W270,000

##### 24x 2027e base case EPS

Gumi AI data center revenues reach W1.4tn by 2030e, with EBITDA margins at 50% and reaching steady state of 60% levels. We apply a 30% discount to net cash and a terminal growth rate of 2% for our DCF of core operations.

#### BEAR CASE

W180,000

##### 17x 2027e bear case EPS

We assume lower 44% steady-state EBITDA margins for the AI data center business. We also apply 50% discount to net cash holdings assuming underwhelming results from M&A. We apply a lower terminal growth rate of 1%.

## Risk Reward – Samsung SDS (018260.KS)

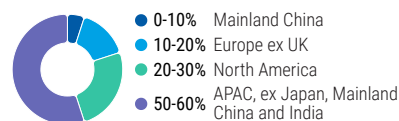
### KEY EARNINGS INPUTS

| Drivers              | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|----------------------|----------|-----------|-----------|-----------|
| CSP revenue (W, bn)  | 1,083    | 1,289     | 1,501     | 1,700     |
| MSP revenue (W, bn)  | 1,187    | 1,306     | 1,423     | 1,594     |
| SaaS revenue (W, bn) | 410      | 427       | 456       | 485       |

### INVESTMENT DRIVERS

- Cloud revenue growth
- Future revenue and returns for the Gumi AI data center
- Use of cash including M&A

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

**2/5**  
MOST

**3 Month**  
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Higher than expected pricing for GPU compute
- AI installation cycle driving higher IT Service revenue
- Successful M&A which drives higher growth and/or returns

#### RISKS TO DOWNSIDE

- Demand for GPU-based computing services falls short of expectations
- Value-dilutive M&A
- Lowered IT Service budgets coming from AI disruption

### OWNERSHIP POSITIONING

Inst. Owners, % Active **48.7%**

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

**Sales / Revenue** (W, bn) 13,823 **14,351** 14,813  
14,372

**EBITDA** (W, bn) 1,185 **1,255** 1,636  
1,441

**EBIT** (W, bn) 759 **850** 994  
839

**EPS** (W) 8,141 **9,116** 9,917  
9,096

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

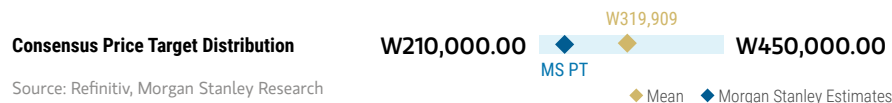
## Risk Reward – Naver Corp (035420.KS)

Disruption from AI remains a threat, neocloud entry offers a growth opportunity.

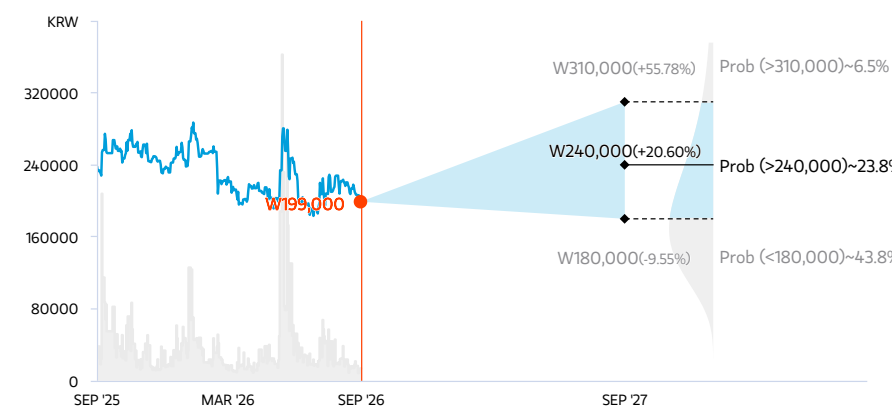
### PRICE TARGET W240,000

Base case, sum-of-the-parts.

- Core operations: Target P/E multiple of 16x to 2026 Naver core NOPLAT estimate.
- Naver Financial: 3.5x P/B to account for the payment and financial business.
- Webtoons: Market value net of 30% holdco discount.
- A-Holdings: Market value net of 50% holdco discount to reflect limited synergies between the businesses.



### RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

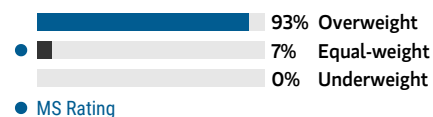


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 17 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

### EQUAL-WEIGHT THESIS

- Competition with US big tech on ads and time spent remains a structural risk factor for the core search business.
- AI represents an opportunity but also risk of disruption - Naver is competing against better capitalized global players with better models.
- Announcement to build neoclouds in partnership with NVIDIA provides an interesting call option which could offer upside if executed well.
- Near term margin outlook is negative as company invests aggressively to drive growth.
- Valuations are not expensive, but more conviction on growth is needed to drive re-rating, in our view.

### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

### Risk Reward Themes

Disruption: *Negative*  
New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

### BULL CASE

W310,000

20x 2027e NOPLAT to Naver core

**Faster ad growth from AI efficiencies and higher value for AI Factory:** We assume Naver can better leverage AI to drive higher ad and service revenues over the medium term. This leads to operating margins recovering to high teens over by 2030. We apply a higher 20x earnings multiple to core NOPLAT for parent, and apply a lower 30% holdco discount to A-Holdings. We also ascribe higher value to Enterprise business to reflect neocloud upside.

### BASE CASE

W240,000

We apply 16x 2027e NOPLAT to Naver core

**Improving ads, gradually declining margins:** We assume ads can sustain high-single-digit CAGR (2025- 2028) and eCommerce maintains stable market share. Higher AI spend and early losses for AI Factory drives operating margins down to low teens for the medium term before inflecting.

### BEAR CASE

W180,000

12x 2027e NOPLAT to Naver core

**Ad revenue growth falters, no value for AI Factory:** Ad revenue fails to sustain momentum as competing platforms take share while AI costs continue to burden margins. We have OP margins falling to 10% levels over the medium term. We apply a lower 12x earnings multiple to our 2027 core NOPLAT, and apply a higher 70% holdco discount to A-Holdings. We assume no upside created from neoclouds.

## Risk Reward – Naver Corp (035420.KS)

### KEY EARNINGS INPUTS

| Drivers                           | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|-----------------------------------|----------|-----------|-----------|-----------|
| Search platform revenue (W, mn)   | 4,169    | 4,503     | 4,791     | 5,036     |
| Commerce revenue (W, mn)          | 3,689    | 4,423     | 4,924     | 5,403     |
| Platform development cost (W, mn) | 2,831    | 3,134     | 3,372     | 3,602     |

### CATALYST CALENDAR

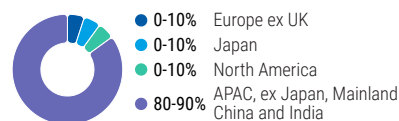
| Date                      | Event                     |
|---------------------------|---------------------------|
| 08 Jun 2026 - 31 Dec 2026 | AI Factory related update |

Source: Refinitiv, Morgan Stanley

### INVESTMENT DRIVERS

- Revenue trajectory for commerce and ads
- New opportunities from AI adoption
- Longer term revenue and margin profile for AI Factory

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

3/5  
MOST 3 Month  
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

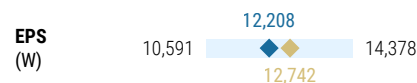
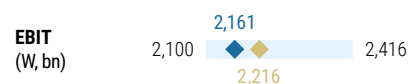
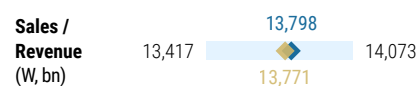
- AI drives new revenue opportunities and/or higher growth for existing services (ads, commerce, etc.).
- Commerce sees sustained market share gain from Coupang.
- Execution proves positive economics from AI factory launch

#### RISKS TO DOWNSIDE

- Disruption from AI drives slower ad growth.
- Recovery for core search and commerce operations takes longer than expected
- Higher capex/opex coming from AI investments and operations

### MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

### OWNERSHIP POSITIONING

Inst. Owners, % Active 81.3%

Source: Refinitiv, Morgan Stanley Research

## Risk Reward – KT Corp (030200.KS)

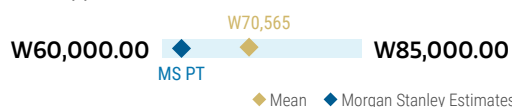
We see good mix of "value up" and AI infrastructure upside.

### PRICE TARGET W62,000

Base case: 0% discount to SoTP value.

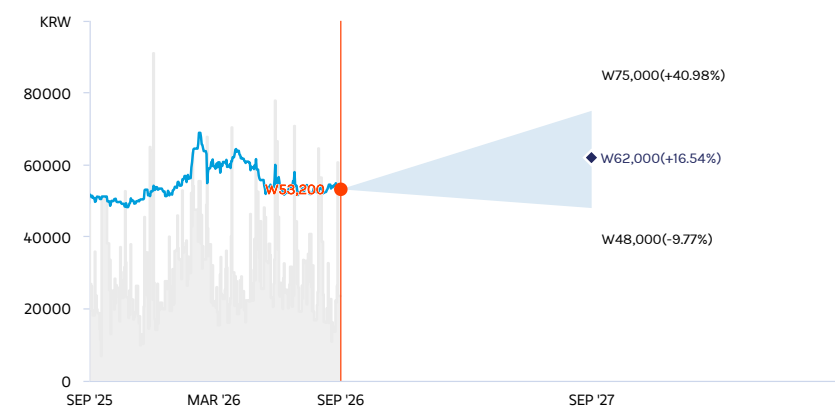
- Parent-only telecom operations: DCF. WACC 7.2%, terminal growth rate 0%.
- Listed subsidiaries (KT Skylife, Genie Music, KT Alpha, Nasmedia): market value with 30% holdco discount applied.
- KT Estate: target PBR of 1.0x (reflecting land value), 30% discount applied.
- BC Card: target PBR of 0.5x, 30% discount applied.

#### Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

### RISK REWARD CHART



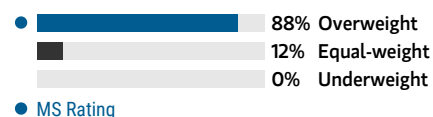
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

### OVERWEIGHT THESIS

- We are positive on new management's strategic direction to maintain existing "value up" initiatives while increasing investments in AI infrastructure (including AIDCs).
- We expect near term earnings momentum to improve as negative impact from "customer compensation measures" unwind in 2H26.
- With the shares trading at 10x P/E, and offering a 6.5% TSR, we believe potential upside from AI infrastructure is not being reflected in current valuations.
- We see potential upside from additional non-core asset sales including real estate assets, and/or non-core subsidiaries.

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

W75,000

##### 14x bull case 2026e EPS

Wireless revenues show stronger growth over a longer horizon, driving parent OP margins to 10%+, while capex remains manageable during 6G rollout. We also assume AI initiatives drive valuation for KT Cloud to W7tn market cap, which flows into our SoTP valuation.

#### BASE CASE

W62,000

##### 12x base case 2026e EPS

KT parent operating margins improve to 9% levels starting 2027 with RoIC coming close to 10% levels ahead of 6G rollout around 2030. We assume stable operating margins for core subsidiaries BC Card, KT Estate, and KT's media subsidiaries.

#### BEAR CASE

W48,000

##### 9x bear case 2026e EPS

We project slower wireless revenue growth coupled with higher capex, resulting in parent OP margins improvement capped to 9% levels and RoIC peaking at 9% levels over the medium term.

## Risk Reward – KT Corp (030200.KS)

### KEY EARNINGS INPUTS

| Drivers                              | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|--------------------------------------|----------|-----------|-----------|-----------|
| Wireless revenue (W, bn)             | 7,127    | 7,215     | 7,279     | 7,326     |
| Marketing spend (Parent) (W, bn)     | 2,970    | 2,858     | 2,811     | 2,792     |
| Capital expenditure (Parent) (W, bn) | 2,251    | 2,373     | 2,565     | 2,580     |

### CATALYST CALENDAR

| Date                      | Event                            |
|---------------------------|----------------------------------|
| 05 Nov 2026 - 09 Nov 2026 | Q3 2026 KT Corp Earnings Release |

Source: Refinitiv, Morgan Stanley

### INVESTMENT DRIVERS

- Wireless revenue growth and capex
- Marketing expenditure
- B2B/enterprise revenues, including upcoming AI opportunities

### GLOBAL REVENUE EXPOSURE



100% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Stronger growth for B2B/enterprise business led by AI initiatives
- Further restructuring that unlocks value for shareholders
- Additional shareholder return measures

#### RISKS TO DOWNSIDE

- Regulatory pressure leading to tariff cuts and/or higher capex
- Renewed competition risk
- Slower progress on AI initiatives

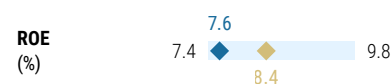
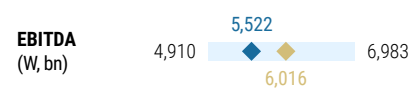
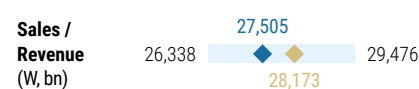
### OWNERSHIP POSITIONING

Inst. Owners, % Active 99.1%

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

## Risk Reward – SK Telecom Co Ltd (017670.KS)

We await more details relating to AIDCs economics.

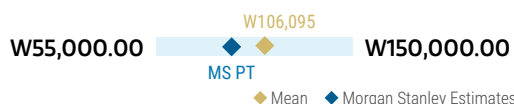
### PRICE TARGET W90,000

Base case, sum-of-the-parts.

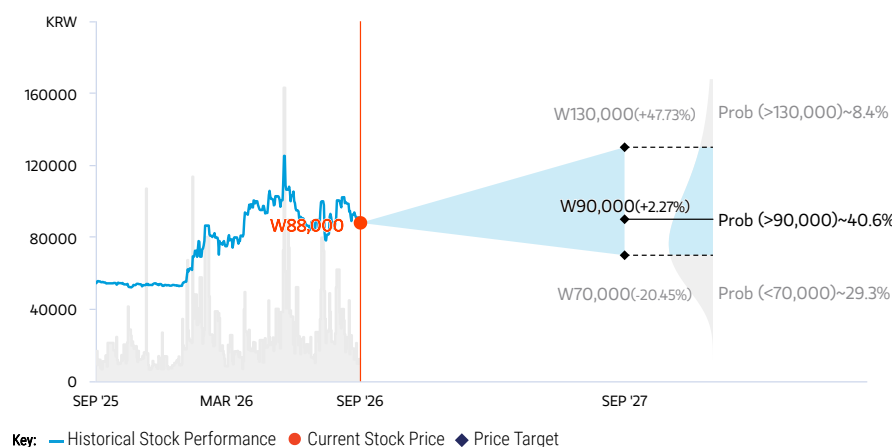
- Core telecom operations - dividend discount model (8.5% cost of equity; 2% terminal growth rate).
- AI investments - benchmark private transaction value or latest market value (for listed entities), with 30% holding company discount applied.

#### Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



### RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 15 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

#### BULL CASE

W130,000

##### 21x bull-case 2026e EPS

We reflect wireless revenue continue stable growth and lower capex levels. This drives consolidated OP to reach W2.5tn by 2030 allowing for faster increase in dividends. We assume W750bn in value accretion for SK Hyper implying attractive returns on invested capital. We apply no holding company discount for AI investments.

#### BASE CASE

W90,000

##### 15x base-case 2026e EPS

We assume wireless revenue growth at 1% CAGR (2025- 2028e), with growth coming mostly from data center and cloud services. We assume parent capex remains low at 13-14% of service revenue until 6G rollout in 2030, and operating margins at 13% levels over the medium term. For SK Broadband, we assume operating margins improve to 12% levels by 2030 on the back of DC growth. We assume annual dividends of W3,320 in 2026 increasing to W4,000 by 2029. We apply 30% valuation discount to AI assets.

#### BEAR CASE

W70,000

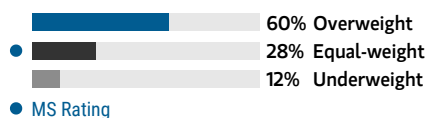
##### 11x bear-case 2026e EPS

We assume sustained decline in wireless revenues coupled with higher capex, resulting in RoIC falling below 10% over the longer term. Lower earnings result in slower increase in dividends. We ascribe no value to SK Hyper and also apply a higher 50% valuation discount to AI investments.

### EQUAL-WEIGHT THESIS

- We like the company's pro-active stance on AIDCs but would like to get better visibility on planned capacity, capex, business model, and expected returns.
- We believe quarterly dividends are likely to be maintained at current levels, with incremental free cash flow likely to be allocated to growth
- The value of SKT's AI investments have emerged as a key share price driver, which has increased share price volatility.
- We believe current share price reflects much of fundamentals.

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – SK Telecom Co Ltd (017670.KS)

KEY EARNINGS INPUTS

| Drivers                              | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|--------------------------------------|----------|-----------|-----------|-----------|
| Wireless service revenue (W, bn)     | 9,902    | 10,272    | 10,251    | 10,204    |
| SK Broadband OP (W, bn)              | 2,900    | 2,979     | 2,920     | 2,855     |
| Capital expenditure (Parent) (W, bn) | 1,261    | 1,621     | 1,686     | 1,685     |

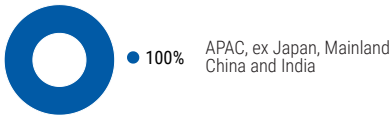
CATALYST CALENDAR

| Date                      | Event                                      | Source: Refinitiv, Morgan Stanley |
|---------------------------|--------------------------------------------|-----------------------------------|
| 28 Oct 2026 - 02 Nov 2026 | Q3 2026 SK Telecom Co Ltd Earnings Release |                                   |

INVESTMENT DRIVERS

- Wireless revenue growth
- AI infrastructure investment and returns
- Future valuation of AI investments

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

|             |                    |
|-------------|--------------------|
| 2/5<br>MOST | 3 Month<br>Horizon |
|-------------|--------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Improved visibility on higher returns relating to data center investments
- Higher cost efficiency measures driving lower costs
- Higher valuation for AI investments

RISKS TO DOWNSIDE

- Lowered return outlook on AI data centers
- Renewed competition
- Lower returns for AI investments

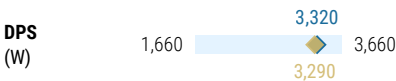
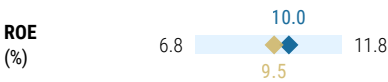
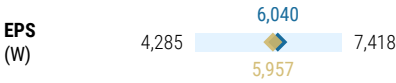
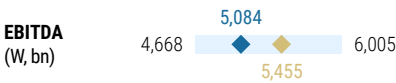
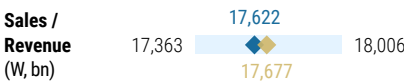
OWNERSHIP POSITIONING

Inst. Owners, % Active 67.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research



Risk Reward – LG Uplus Corp (032640.KS)

We await the next key catalyst to trigger a re-rating.

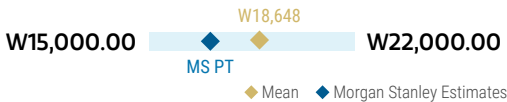
PRICE TARGET W17,000

Base case, sum-of-the-parts valuation.

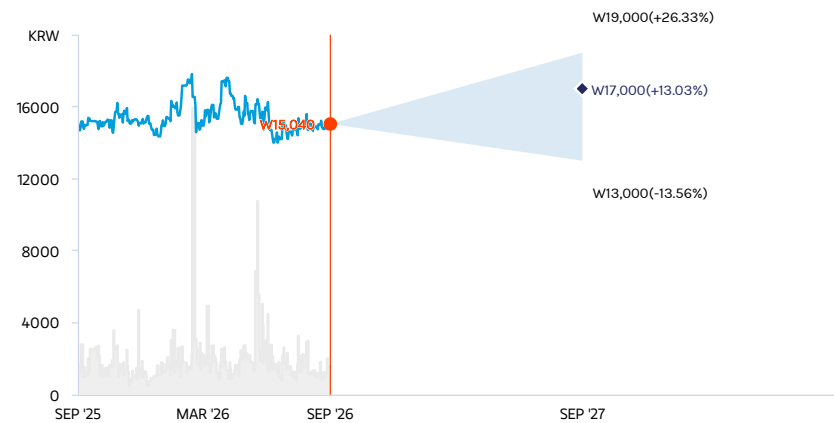
- Telecom operations: discounted cash flow (DCF). Key assumptions: WACC 7.9%, terminal growth rate 1%.
- Hellovision stake: market value proportionate to its 50% equity stake.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



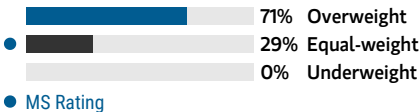
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- With management's focus on profitability, and coming off a restructuring in 2025, we see an earnings recovery playing out in 2026.
- We forecast higher growth from Enterprise, led by the company's new data center cluster in Paju.
- The company is gradually increasing dividends and share buybacks on the back of earnings improvement.
- Valuation is undemanding at 9x 2026e P/E and offering 6% TSR but given rising interest rates and investor focus on AI, we believe the stock needs a strong catalyst to drive a re-rating.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive  
Pricing Power: Negative

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

W19,000

12x bull case 2026e EPS

We assume LGU parent's operating margins reach 12% over the medium term, supported by higher wireless revenues and lower capex. This drives RoIC higher to 10% levels over the longer term.

BASE CASE

W17,000

9x base case 2026e EPS

For LGU parent, we assume operating margins improve to 11% over the medium term, driven by healthy trends for consumer wireless and enterprise. We assume capex is held steady until 6G comes into play in 2030. We have RoIC improving to 8%-plus over the medium term.

BEAR CASE

W13,000

8x bear case 2026e EPS

We assume wireless ARPU growth is capped and capex ends up higher, resulting in operating margins peaking at 11% levels over the medium term. We also assume higher capex post 6G, driving RoIC below 8% over the longer term.

## Risk Reward – LG Uplus Corp (032640.KS)

### KEY EARNINGS INPUTS

| Drivers                              | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|--------------------------------------|----------|-----------|-----------|-----------|
| Wireless service revenue (W, bn)     | 6,371    | 6,465     | 6,566     | 6,676     |
| Marketing spend (Parent) (W, bn)     | 2,346    | 2,520     | 2,410     | 2,407     |
| Capital expenditure (Parent) (W, bn) | 1,539    | 2,156     | 1,779     | 1,873     |

### CATALYST CALENDAR

| Date                      | Event                                  | Source: Refinitiv, Morgan Stanley |
|---------------------------|----------------------------------------|-----------------------------------|
| 03 Nov 2026 - 09 Nov 2026 | Q3 2026 LG Uplus Corp Earnings Release |                                   |

### INVESTMENT DRIVERS

- Future capital and spectrum spending
- B2B/enterprise revenues including AI data centers
- Competition-related marketing expenditure

### GLOBAL REVENUE EXPOSURE



100% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

1/5  
MOST 3 Month  
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Faster service revenue growth from B2B segments (data center, leased line, etc.)
- Additional cost saving measures
- Increased shareholder returns

#### RISKS TO DOWNSIDE

- Regulatory risks associated with telecom pricing or capex
- Renewed competitive intensity on wireless

### OWNERSHIP POSITIONING

Inst. Owners, % Active 72.8%

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

**Sales / Revenue** (W, bn) 15,088 15,413 15,512 15,946

**EBITDA** (W, bn) 3,347 3,847 3,845 3,991

**EPS** (W) 1,565 1,633 1,717 2,006

**ROE** (%) 7.4 7.9 8.2 11.3

**DPS** (W) 650 700 697 760

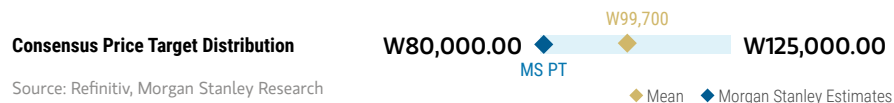
◆ Mean ◆ Morgan Stanley Estimates  
Source: Refinitiv, Morgan Stanley Research

## Risk Reward – LG CNS Co Ltd (064400.KS)

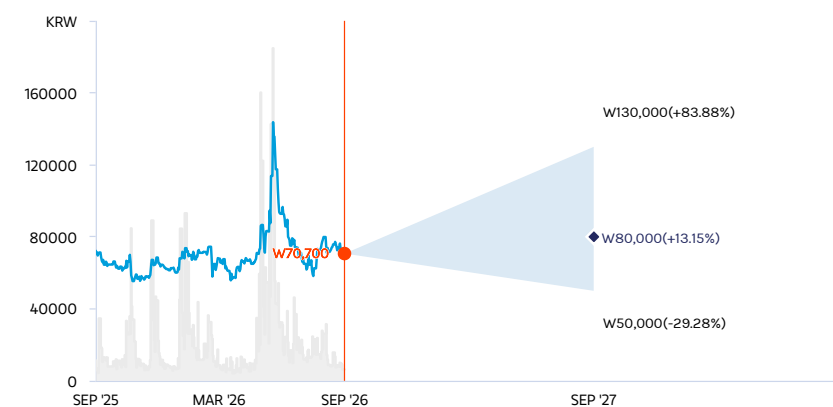
Awaiting better visibility on data center projects

### PRICE TARGET W80,000

Base case, discounted cash flow. This methodology takes into consideration the company's stable earnings profile and the long-term trajectory of cash flows. For our DCF we assume a WACC of 8.9% (beta of 0.9, risk-free rate of 3.5%, equity risk premium of 6.0%, all equity capital structure) and terminal growth of 1.0%. We cross-check with global peers by comparing the P/E ratio with relevant domestic and global IT service peers.



### RISK REWARD CHART

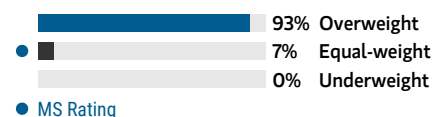


Source: Refinitiv, Morgan Stanley Research

### EQUAL-WEIGHT THESIS

- We expect tighter IT budgets from key LG affiliates to drive lower growth for LG CNS in the near term. Hence, we would like to see signs of re-acceleration in order to turn more constructive.
- With competition for DBO projects intensifying, we would like greater visibility on project wins and the potential revenue and margin contribution from AI data-center build-outs.
- Robotics provides long-term optionality, but we believe meaningful earnings contribution is unlikely before 2028.
- LG CNS maintains a 40% dividend payout policy, but with the dividend yield at ~2-3%, we do not see this providing meaningful downside support.

### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

### Risk Reward Themes

New Data Era: *Positive*  
Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

### BULL CASE

W130,000

#### 24x 2027e bull case EPS

We assume: 1) AI and data center-related projects drive a faster 9% CAGR in Cloud & AI revenue, 2025-28, lifting revenues to W8.3tn by 2028; 2) gross margin expanding to 16% level; and 3) operating margin coming in close to 11% over the medium term. We apply higher perpetual growth rate of 2.0%.

### BASE CASE

W80,000

#### 16x 2027e base case EPS

We assume: 1) Cloud & AI revenue - 7% CAGR, 2025-28, driving total revenues to W7.4tn by 2028; 2) 5% revenue CAGR for Digital Business Services, and 3.6% CAGR for Smart Engineering revenues; 3) higher proportion of non-captive customers keeps OP margins at 9% level. We apply a perpetual growth rate of 1.0%.

### BEAR CASE

W50,000

#### 12x 2027e bear case EPS

We assume: 1) Cloud & AI revenue - lower 5% CAGR for 2025-28, implying revenues of W6.8tn by 2028; 2) gross margin falling to 14% level; 3) OP margin compressing below 8% level in the medium term. We apply lower perpetual growth rate of 0%.

## Risk Reward – LG CNS Co Ltd (064400.KS)

### KEY EARNINGS INPUTS

| Drivers                  | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|--------------------------|----------|-----------|-----------|-----------|
| Cloud&AI revenue (W, bn) | 3,587    | 3,803     | 4,107     | 4,370     |
| COGS (W, bn)             | 5,177    | 5,505     | 5,881     | 6,329     |

### INVESTMENT DRIVERS

- IT budgets from key LG affiliates (e.g., LG Electronics, LG Energy Solutions)
- Adoption of AI-based services driving related systems projects
- Orders for data center management related projects
- Robotics deployment across enterprise environments.

### GLOBAL REVENUE EXPOSURE



- 0-10% North America
- 90-100% APAC, ex Japan, Mainland China and India

Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

**1/5**  
MOST  
3 Month  
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Stronger AI/data center demand and clearer DBO revenue scalability
- Faster robotics monetization or continued robotics thematic momentum
- Corporate value-up or M&A that improves shareholder returns or growth visibility

#### RISKS TO DOWNSIDE

- Tighter IT budgets from key LG affiliates
- Increased competition for DBO projects
- Weaker-than-expected DBS recovery or delays in financial-sector system projects

### OWNERSHIP POSITIONING

Inst. Owners, % Active 86.7%

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

**Sales / Revenue**  
(W, bn)

6,405 6,507 6,570 7,041

**EBITDA**  
(W, bn)

653 653 726 787

**EBIT**  
(W, bn)

554 578 594 629

**EPS**  
(W)

4,542 4,678 4,988 5,428

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

## Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at [www.morganstanley.com/eqr/disclosures/webapp/generalresearch](http://www.morganstanley.com/eqr/disclosures/webapp/generalresearch), or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

## Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Seyon Park; Sohyun Park.

## Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at [www.morganstanley.com/institutional/research/conflictolicies](http://www.morganstanley.com/institutional/research/conflictolicies). A Portuguese version of the policy can be found at [www.morganstanley.com.br](http://www.morganstanley.com.br)

## Important Regulatory Disclosures on Subject Companies

As of August 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Coupang Inc, DoubleU Games Co Ltd, KT Corp, NC Corporation, SK Telecom Co Ltd.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of LG CNS Co Ltd, Naver Corp.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Naver Corp.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Coupang Inc, Kakao Corp, Krafon Inc, KT Corp, LG CNS Co Ltd, Naver Corp, NC Corporation, Netmarble Games Corp, Samsung SDS, SK Telecom Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Coupang Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Coupang Inc, Kakao Corp, Krafon Inc, KT Corp, LG CNS Co Ltd, Naver Corp, NC Corporation, Netmarble Games Corp, Samsung SDS, SK Telecom Co Ltd.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Coupang Inc, Naver Corp, Netmarble Games Corp, SK Telecom Co Ltd.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

## STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

## Global Stock Ratings Distribution

(as of August 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated

and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1555              | 42%        | 450                              | 48%            | 29%                  | 767                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 395                              | 42%            | 25%                  | 770                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 559               | 15%        | 93                               | 10%            | 17%                  | 216                                               | 12%                   |
| Total                 | 3,694             |            | 939                              |                |                      | 1754                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

## Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

## Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

## Stock Price, Price Target and Rating History (See Rating Definitions)

KT Corp (030200.KS) - As of 09/17/26 GMT in KRW  
Industry : S. Korea Telecoms & Internet



Stock Rating History: 9/1/21 : O/I; 12/7/21 : E/I; 3/21/22 : O/I; 2/27/23 : E/I; 9/12/23 : O/I; 2/24/26 : E/I; 8/26/26 : O/I

Price Target History: 8/11/21 : 43000; 12/7/21 : 35000; 3/21/22 : 40000; 5/26/22 : 44000; 8/24/22 : 46000; 11/25/22 : 44000; 2/27/23 : 30000; 6/23/23 : 35000; 8/29/23 : 37000; 10/17/23 : 41000; 12/11/23 : 42000; 4/4/24 : 45000; 6/19/24 : 46000; 9/5/24 : 48000; 11/11/24 : 58000; 4/3/25 : 60000; 2/24/26 : 70000; 6/29/26 : 64000; 8/26/26 : 62000

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

LG CNS Co Ltd (064400.KS) - As of 09/17/26 GMT in KRW  
Industry : S. Korea IT Services and Software



Stock Rating History: 3/18/25 : E/I; 5/4/26 : E/I

Price Target History: 3/18/25 : 56000; 7/17/25 : 65000; 5/4/26 : 68000; 6/23/26 : 80000

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

LG Uplus Corp (032640.KS) - As of 09/17/26 GMT in KRW  
Industry : S. Korea Telecoms & Internet



Stock Rating History: 9/1/21 : O/I; 3/21/22 : E/I; 6/19/24 : U/I; 5/8/25 : E/I; 7/28/25 : U/I; 10/16/25 : E/I; 1/13/26 : O/I; 8/26/26 : E/I

Price Target History: 8/25/21 : 17000; 12/7/21 : 16000; 3/21/22 : 15000; 8/24/22 : 13500; 11/25/22 : 13000; 3/27/23 : 12000; 8/29/23 : 11000; 12/11/23 : 10000; 4/4/24 : 9000; 6/19/24 : 8500; 9/5/24 : 8300; 4/3/25 : 9000; 5/8/25 : 11500; 7/28/25 : 12000; 10/16/25 : 16000; 2/24/26 : 19000; 6/29/26 : 18000; 8/26/26 : 17000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Naver Corp (035420.KS) - As of 09/17/26 GMT in KRW  
Industry : S. Korea Telecoms & Internet



Stock Rating History: 9/1/21 : O/I; 4/22/22 : E/I; 3/13/23 : U/I; 4/19/24 : E/I; 8/14/26 : NA/I; 8/20/26 : E/I

Price Target History: 7/1/21 : 500000; 9/28/21 : 480000; 1/10/22 : 410000; 1/27/22 : 370000; 4/22/22 : 320000; 7/18/22 : 260000; 8/8/22 : 230000; 10/14/22 : 180000; 11/7/22 : 150000; 8/7/23 : 180000; 5/7/24 : 200000; 1/16/25 : 210000; 4/8/25 : 220000; 5/26/25 : 210000; 9/17/25 : 230000; 2/9/26 : 260000; 6/10/26 : 270000; 8/14/26 : NA; 8/20/26 : 270000; 9/18/26 : 240000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Samsung SDS (018260.KS) - As of 09/17/26 GMT in KRW  
Industry : S. Korea IT Services and Software



Stock Rating History: 9/1/21 : E/NR; 1/6/22 : U/NR; 11/29/24 : E/I; 7/17/25 : O/I; 4/14/26 : NA/I; 5/11/26 : O/I

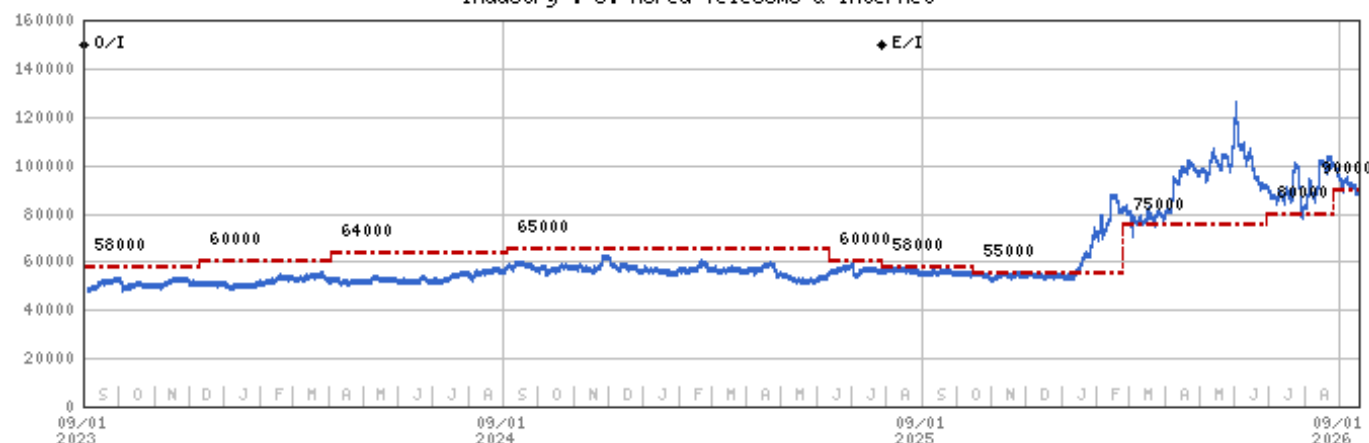
Price Target History: 1/22/21 : 200000; 10/26/21 : 160000; 1/6/22 : 136000; 1/26/23 : 126000; 9/11/23 : 127000; 2/27/24 : 145000; 11/29/24 : 170000; 3/24/25 : 140000; 5/21/25 : 150000; 7/17/25 : 220000; 11/24/25 : 240000; 3/16/26 : 250000; 4/14/26 : NA; 5/11/26 : 250000; 6/23/26 : 270000

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

SK Telecom Co Ltd (017670.KS) - As of 09/17/26 GMT in KRW  
Industry : S. Korea Telecoms & Internet



Stock Rating History: 9/1/21 : O/I; 7/28/25 : E/I

Price Target History: 8/20/21 : 115252.41; 9/14/21 : 118545.34; 11/29/21 : 75000; 3/21/22 : 72000; 5/26/22 : 74000; 8/24/22 : 70000; 11/25/22 : 68000; 3/27/23 : 60000; 6/23/23 : 62000; 8/29/23 : 58000; 12/11/23 : 60000; 4/4/24 : 64000; 9/5/24 : 65000; 6/12/25 : 60000; 7/28/25 : 58000; 10/16/25 : 55000; 2/24/26 : 75000; 6/29/26 : 80000; 8/26/26 : 90000

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

## Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at [www.morganstanley.com/online/researchdisclosures](http://www.morganstanley.com/online/researchdisclosures). For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

## Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy ([http://www.morganstanley.com/privacy\\_pledge.html](http://www.morganstanley.com/privacy_pledge.html)), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy ([http://www.morganstanley.com/privacy\\_pledge.html](http://www.morganstanley.com/privacy_pledge.html)). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited ([https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms\\_and\\_conditions.pdf](https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf)) and the following link to review the audit report ([https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL\\_Morgan\\_Stanley\\_Research\\_Audit\\_Report.pdf](https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf)).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. Morgan Stanley Research is disseminated in Canada by Morgan Stanley Canada Limited and Morgan Stanley Wealth Management Canada Inc., members of the Canadian Investment Regulatory Organization (CIRO). The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

## INDUSTRY COVERAGE: S. Korea Telecoms & Internet

| COMPANY (TICKER)     | RATING (AS OF) | PRICE* (09/17/2026) |
|----------------------|----------------|---------------------|
| Seyon Park           |                |                     |
| Coupang Inc (CPNG.N) | O (06/29/2022) | US\$14.40           |

|                                  |                |          |
|----------------------------------|----------------|----------|
| Kakao Corp (035720.KS)           | ++             | W33,500  |
| Krafton Inc (259960.KS)          | O (07/10/2026) | W203,000 |
| KT Corp (030200.KS)              | O (08/26/2026) | W53,400  |
| LG Uplus Corp (032640.KS)        | E (08/26/2026) | W14,680  |
| Naver Corp (035420.KS)           | E (08/20/2026) | W199,000 |
| NC Corporation (036570.KS)       | O (10/25/2024) | W204,500 |
| SK Telecom Co Ltd (017670.KS)    | E (07/28/2025) | W87,600  |
| Sohyun Park                      |                |          |
| DoubleU Games Co Ltd (192080.KS) | E (07/10/2026) | W58,800  |
| Netmarble Games Corp (251270.KS) | U (09/03/2026) | W34,150  |
| Pearl Abyss Corp (263750.KQ)     | U (09/01/2025) | W34,150  |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.